# Block practice · Incomplete records

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Finding missing sales, purchases and balances

Income statement from incomplete records

Statement of financial position from incomplete records

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# Practice workbook · Finding missing sales, purchases and balances

Reconstructing credit or total sales and purchases, or a missing receivable or payable, from cash records and opening and closing balances.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-08

# 1. Question 2 · part a.i · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part a.i only.

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**2** Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

| | 1 October 2021 $ | 30 September 2022 $ |
|---|---|---|
| Motor vehicles<br>Cost<br>Provision for depreciation | <br>50 000<br>10 000 | <br>50 000<br>**To be calculated** |
| Inventory | 25 750 | 27 460 |
| Other payables – wages | – | 500 |
| Other receivables – office expenses | – | 400 |
| Trade payables | 15 500 | 12 750 |
| Trade receivables | 21 400 | 32 500 |

**Bank Summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Interest received | 110 | Drawings | 18 000 |
| Trade receivables | 167 650 | Office expenses | 26 750 |
| | | Trade payables | 92 750 |
| | | Wages | 33 000 |

Depreciation is charged at 20% per annum using the reducing balance method.

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# 1. Question 2 · part a.i · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part a.i only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

**(3)**

(ii) credit purchases.

**(3)**

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## 1. Question 2 · part a.i · 3 marks · Working and answer

Working and answer

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## 2. Question 1 · part b.i · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

**1** (a) State **two** stakeholders and their interests in the financial statements of a business.

**(4)**

The first one has been completed as an example.

| Stakeholder | Interest |
|---|---|
| *Employees* | *Security of employment* |
| | |
| | |

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

| | 31 March 2019 $ | 1 April 2018 $ |
|---|---|---|
| Inventory | 9 000 | 8 600 |
| Trade payables | 1 600 | 1 900 |
| Trade receivables | 4 400 | 3 800 |

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

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## 2. Question 1 · part b.i · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

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## 2. Question 1 · part b.i · 6 marks · Working and answer

Working and answer

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# 3. Question 1 · part b.ii · 4 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

**1** (a) State **two** stakeholders and their interests in the financial statements of a business.

**(4)**

The first one has been completed as an example.

| Stakeholder | Interest |
|---|---|
| *Employees* | *Security of employment* |
| | |
| | |

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

| | 31 March 2019 $ | 1 April 2018 $ |
|---|---|---|
| Inventory | 9 000 | 8 600 |
| Trade payables | 1 600 | 1 900 |
| Trade receivables | 4 400 | 3 800 |

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

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## 3. Question 1 · part b.ii · 4 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

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## 3. Question 1 · part b.ii · 4 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

**Abel**
**Income statement for the year ended 31 March 2019**

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## 3. Question 1 · part b.ii · 4 marks · Working and answer

Working and answer

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## 4. Question 2 · part a.ii · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part a.ii only.

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**2** Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

| | 1 October 2021 $ | 30 September 2022 $ |
|---|---|---|
| Motor vehicles<br>Cost<br>Provision for depreciation | <br>50 000<br>10 000 | <br>50 000<br>**To be calculated** |
| Inventory | 25 750 | 27 460 |
| Other payables – wages | – | 500 |
| Other receivables – office expenses | – | 400 |
| Trade payables | 15 500 | 12 750 |
| Trade receivables | 21 400 | 32 500 |

**Bank Summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Interest received | 110 | Drawings | 18 000 |
| Trade receivables | 167 650 | Office expenses | 26 750 |
| | | Trade payables | 92 750 |
| | | Wages | 33 000 |

Depreciation is charged at 20% per annum using the reducing balance method.

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# 4. Question 2 · part a.ii · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part a.ii only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

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# 4. Question 2 · part a.ii · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part a.ii only.

(b) Prepare the income statement for the year ended 30 September 2022.

**(12)**

**Yamini**
**Income statement for the year ended 30 September 2022**

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## 4. Question 2 · part a.ii · 3 marks · Working and answer

Working and answer

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## 5. Question 1 · part a · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

**1** Tim, a sole trader, provided the following information for the year ended 30 April 2023.

| | 1 May 2022 $ | 30 April 2023 $ |
|---|---|---|
| Inventory | 27 280 | 20 130 |
| Trade receivables | 31 550 | 41 790 |

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

**(5)**

During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

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## 5. Question 1 · part a · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the income statement for the year ended 30 April 2023.

(15)

**Tim**
**Income statement for the year ended 30 April 2023**

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## 5. Question 1 · part a · 5 marks · Working and answer

Working and answer

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# 6. Question 1 · part a.i · 4 marks

2024 NOV · Paper 02

Further practice · Attempt part a.i only.

**1** Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

| Balance at 1 September 2023 | $ |
|---|---|
| Bank | 21 550 |
| Inventory | 39 500 |
| Motor vehicles – carrying value | 30 000 |
| Other payables – general expenses | 1 750 |
| Trade payables | 37 500 |
| Trade receivables | 48 200 |

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Trade receivables | 215 000 | Trade payables | 135 125 |
| | | Drawings | 21 900 |
| | | Wages | 10 550 |
| | | General expenses | 16 125 |
| | | Motor expenses | 8 900 |

**Additional information at 31 August 2024**

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

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## 6. Question 1 · part a.i · 4 marks

2024 NOV · Paper 02

Further practice · Attempt part a.i only.

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(a) Calculate, at 31 August 2024, the:

(i) trade receivables

**(4)**

(ii) trade payables.

**(3)**

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## 6. Question 1 · part a.i · 4 marks · Working and answer

Working and answer

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## 7. Question 1 · part a.ii · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

**1** Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

| Balance at 1 September 2023 | $ |
|---|---|
| Bank | 21 550 |
| Inventory | 39 500 |
| Motor vehicles – carrying value | 30 000 |
| Other payables – general expenses | 1 750 |
| Trade payables | 37 500 |
| Trade receivables | 48 200 |

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Trade receivables | 215 000 | Trade payables | 135 125 |
| | | Drawings | 21 900 |
| | | Wages | 10 550 |
| | | General expenses | 16 125 |
| | | Motor expenses | 8 900 |

**Additional information at 31 August 2024**

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

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## 7. Question 1 · part a.ii · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

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(a) Calculate, at 31 August 2024, the:

(i) trade receivables

**(4)**

(ii) trade payables.

**(3)**

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## 7. Question 1 · part a.ii · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

**Romala**
**Statement of financial position at 31 August 2024**

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## 7. Question 1 · part a.ii · 3 marks · Working and answer

Working and answer

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# Practice workbook · Income statement from incomplete records

A trader's income statement, or trading section, where sales, purchases and expenses must first be derived from cash records.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-09

# 1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

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**2** Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

| | 1 October 2021 $ | 30 September 2022 $ |
|---|---|---|
| Motor vehicles<br>Cost<br>Provision for depreciation | <br>50 000<br>10 000 | <br>50 000<br>**To be calculated** |
| Inventory | 25 750 | 27 460 |
| Other payables – wages | – | 500 |
| Other receivables – office expenses | – | 400 |
| Trade payables | 15 500 | 12 750 |
| Trade receivables | 21 400 | 32 500 |

**Bank Summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Interest received | 110 | Drawings | 18 000 |
| Trade receivables | 167 650 | Office expenses | 26 750 |
| | | Trade payables | 92 750 |
| | | Wages | 33 000 |

Depreciation is charged at 20% per annum using the reducing balance method.

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# 1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

**(3)**

(ii) credit purchases.

**(3)**

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# 1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare the income statement for the year ended 30 September 2022.

(12)

**Yamini**
**Income statement for the year ended 30 September 2022**

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# 1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(c) State **two** accounting concepts that apply when preparing financial statements.

**(2)**

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

| | 30 September | |
|---|---|---|
| | **2021** | **2022** |
| Current (working capital) ratio | 2:1:1 | 2.3:1 |
| Liquid (acid test) ratio | 1.2:1 | 0.8:1 |

(d) Evaluate the change in liquidity from 2021 to 2022.

**(5)**

**(Total for Question 2 = 25 marks)**

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## 1. Question 2 · part b · 12 marks · Working and answer

Working and answer

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## 2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

**1** (a) State **two** stakeholders and their interests in the financial statements of a business.

**(4)**

The first one has been completed as an example.

| Stakeholder | Interest |
|---|---|
| *Employees* | *Security of employment* |
| | |
| | |

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

| | 31 March 2019 $ | 1 April 2018 $ |
|---|---|---|
| Inventory | 9 000 | 8 600 |
| Trade payables | 1 600 | 1 900 |
| Trade receivables | 4 400 | 3 800 |

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

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## 2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

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## 2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

**Abel**
**Income statement for the year ended 31 March 2019**

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## 2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Abel has calculated the following ratios.

| | 31 March | |
|---|---|---|
| **Ratio** | **2019** | **2018** |
| Current (working capital) | 2.42:1 | 3.01:1 |
| Liquid (acid test) | 0.92:1 | 1.52:1 |

(d) Evaluate the change in the liquidity of the business.

**(5)**

**(Total for Question 1 = 25 marks)**

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## 2. Question 1 · part c · 6 marks · Working and answer

Working and answer

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## 3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

**1** Mia provided the following information at 1 January 2019.

| | $ |
|---|---|
| Bank | 5 750 Cr |
| Fixtures and fittings (cost $60 000) | 48 000 |
| Inventory | 20 000 |
| Other receivables | 1 100 |
| Trade payables | 34 950 |
| Trade receivables | 40 000 |

(a) Calculate the equity at 1 January 2019.

**(3)**

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**2**

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## 3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

**Mia**

**Income statement for the year ended 31 December 2019**

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## 3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

**(5)**

**Mia**

**Statement of financial position at 31 December 2019**

**Equity**

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(d) State **two** factors that cause non-current assets to depreciate.

**(2)**

1 .....

2 .....



P 6 0 6 8 4 A 0 4 1 2

## 3. Question 1 · part b · 6 marks · Working and answer

Working and answer

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# 4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

**1** On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Capital | 75 000 | Drawings | 31 750 |
| Trade receivables | 165 200 | Motor vehicle | 40 000 |
| Balance c/d | 3 225 | Office expenses | 18 975 |
| | | Rent and rates | 14 600 |
| | | Trade payables | 104 200 |
| | | Wages and salaries | 28 900 |
| | | Motor expenses | 5 000 |
| | 243 425 | | 243 425 |
| | | Balance b/d | 3 225 |

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

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## 4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

**Sajjan**
**Income statement for the year ended 30 April 2022**

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## 4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

**Sajjan**
**Statement of financial position at 30 April 2022**

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## 4. Question 1 · part a · 10 marks · Working and answer

Working and answer

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## 5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**1** Tim, a sole trader, provided the following information for the year ended 30 April 2023.

| | 1 May 2022 $ | 30 April 2023 $ |
|---|---|---|
| Inventory | 27 280 | 20 130 |
| Trade receivables | 31 550 | 41 790 |

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

**(5)**

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During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

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## 5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Prepare the income statement for the year ended 30 April 2023.

(15)

**Tim**
**Income statement for the year ended 30 April 2023**

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## 5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Explain why Tim made an adjustment for goods taken for personal use. You **must** refer to an accounting concept.

**(3)**

(d) Explain how Tim applies the consistency concept when depreciating non-current assets.

**(2)**

**(Total for Question 1 = 25 marks)**

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## 5. Question 1 · part b · 15 marks · Working and answer

Working and answer

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# Practice workbook · Statement of financial position from incomplete records

A sole trader's year-end statement of financial position, or its equity section, when opening capital, bank or profit must be worked out first.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-10

# 1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

**2** On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

**(1)**

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

| Balances at 31 December 2023 | $ |
|---|---|
| Bank overdraft | 2 198 |
| Cash in hand | 890 |
| Inventory | 14 568 |
| Other receivables | 200 |
| Other payables | 567 |
| Trade receivables | 2 167 |
| Trade payables | 2 325 |

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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# 1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

(ii) Prepare the statement of financial position at 31 December 2023.

(15)

**Thelma**
**Statement of financial position at 31 December 2023**

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7

Turn over

# 1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.



# 1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

(b) Discuss **two** reasons why a business should maintain full accounting records.

**(4)**

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## 1. Question 2 · part a.ii · 15 marks · Working and answer

Working and answer

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## 2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

**1** Mia provided the following information at 1 January 2019.

| | $ |
|---|---|
| Bank | 5 750 Cr |
| Fixtures and fittings (cost $60 000) | 48 000 |
| Inventory | 20 000 |
| Other receivables | 1 100 |
| Trade payables | 34 950 |
| Trade receivables | 40 000 |

(a) Calculate the equity at 1 January 2019.

**(3)**

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## 2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

**(6)**

**Mia**

**Income statement for the year ended 31 December 2019**

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## 2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

**(5)**

**Mia**

**Statement of financial position at 31 December 2019**

**Equity**

(d) State **two** factors that cause non-current assets to depreciate.

**(2)**

1 .....

2 .....

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## 2. Question 1 · part c · 5 marks · Working and answer

Working and answer

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## 3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

**1** On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Capital | 75 000 | Drawings | 31 750 |
| Trade receivables | 165 200 | Motor vehicle | 40 000 |
| Balance c/d | 3 225 | Office expenses | 18 975 |
| | | Rent and rates | 14 600 |
| | | Trade payables | 104 200 |
| | | Wages and salaries | 28 900 |
| | | Motor expenses | 5 000 |
| | 243 425 | | 243 425 |
| | | Balance b/d | 3 225 |

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

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## 3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 30 April 2022.

**(10)**

**Sajjan**
**Income statement for the year ended 30 April 2022**

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## 3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

**Sajjan**
**Statement of financial position at 30 April 2022**

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## 3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

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(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

**(3)**

(ii) Accruals

**(2)**

**(Total for Question 1 = 25 marks)**

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## 3. Question 1 · part b · 10 marks · Working and answer

Working and answer

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# 4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

**2** Ed, a sole trader, provided the following information.

| **Balance at 1 May 2022** | **$** |
|---|---|
| Fixtures and fittings<br>– cost<br>– provision for depreciation | <br>123 500<br>55 575 |
| Bank | 1 680 |
| Inventory | 25 500 |
| Other payables | 1 400 |
| Trade receivables | 76 000 |
| Trade payables | 25 100 |

(a) Calculate the equity at 1 May 2022. **(3)**

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# 4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

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| Balance at 30 April 2023 | $ |
|---|---|
| Fixtures and fittings<br>– cost<br>– provision for depreciation | <br>275 000<br>96 825 |
| Bank | 2 650 Cr |
| Bank loan (2030) | 75 000 |
| Inventory | 17 600 |
| Other payables | 1 900 |
| Trade receivables | 86 500 |
| Trade payables | 18 540 |

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

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# 4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

**Ed**
**Statement of Financial Position at 30 April 2023**

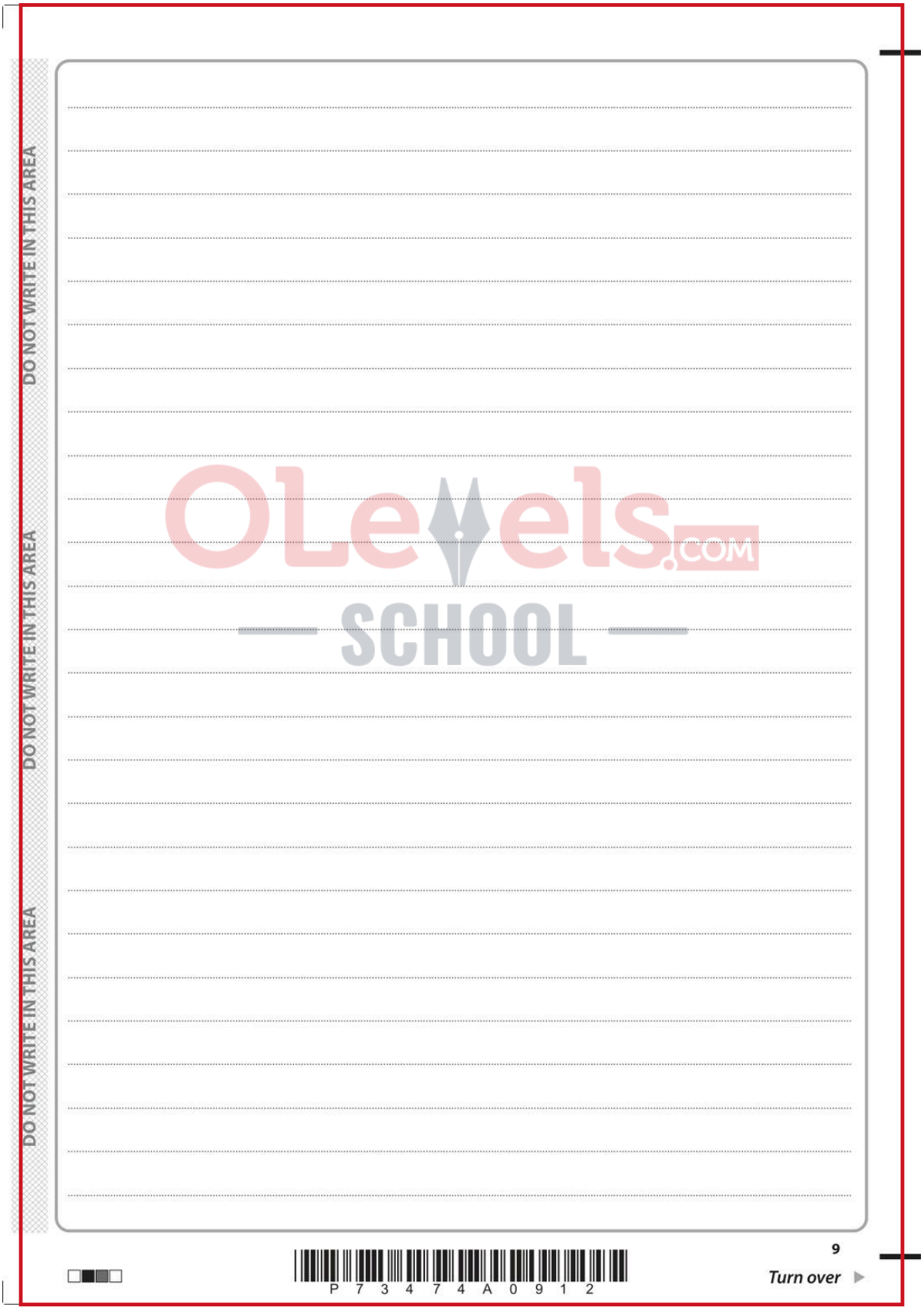
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# 4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.



## 4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

Ed is considering investing in a computerised accounting package.

(c) Evaluate the **disadvantages** of this proposal.

**(5)**

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**(Total for Question 2 = 25 marks)**

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## 4. Question 2 · part b · 17 marks · Working and answer

Working and answer

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## 5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

**1** Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

| Balance at 1 September 2023 | $ |
|---|---|
| Bank | 21 550 |
| Inventory | 39 500 |
| Motor vehicles – carrying value | 30 000 |
| Other payables – general expenses | 1 750 |
| Trade payables | 37 500 |
| Trade receivables | 48 200 |

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Trade receivables | 215 000 | Trade payables | 135 125 |
| | | Drawings | 21 900 |
| | | Wages | 10 550 |
| | | General expenses | 16 125 |
| | | Motor expenses | 8 900 |

**Additional information at 31 August 2024**

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

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## 5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

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(a) Calculate, at 31 August 2024, the:

(i) trade receivables

**(4)**

(ii) trade payables.

**(3)**

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# 5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

**Romala**
**Statement of financial position at 31 August 2024**

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# 5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

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## 5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

Romala is concerned about the number of irrecoverable debts and is considering creating a provision for irrecoverable debts.

(b) Discuss, referring to appropriate accounting concepts, whether Romala should create a provision for irrecoverable debts.

**(5)**

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**(Total for Question 1 = 25 marks)**

## 5. Question 1 · part a.iii · 13 marks · Working and answer

Working and answer

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